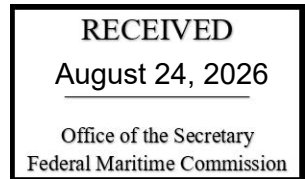


BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 26- 12



SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

CMA CGM S.A.,

RESPONDENT.

VERIFIED COMPLAINT

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, files this Verified Complaint against Respondent herein, alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.* (the “Shipping Act”) as follows:

I. COMPLAINANT

1. Complainant SEA is a corporation organized and existing under the laws of the State of New York, with a principal place of business at 700 Sylvan Avenue, Englewood Cliffs, New Jersey 07632.

II. RESPONDENT

2. Respondent CMA CGM S.A. (“Respondent” or “CMA”) is a *société anonyme* existing under the laws of the Republic of France with a principal place of business at

Boulevard Jacques Saade, 4 Quai d'Arenc, Marseille, France, with a United States office located at 1 CMA CGM Way, Norfolk, Virginia 23502.

3. CMA, by itself and through its common carrier subsidiaries, common carrier predecessors and affiliated companies, provides container transportation and is among the world's largest container and supply vessel operators.

4. CMA is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. §§ 40102(7) and (18) and is subject to regulation by the Federal Maritime Commission (the "FMC" or "Commission").

5. CMA is registered with the FMC as a vessel operating common carrier operating in U.S. foreign commerce, with FMC organization number 016541.

III. JURISDICTION

6. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act.

7. This Complaint is being filed pursuant to 46 U.S.C. § 41301. SEA is seeking a cease-and-desist order and reparations for injuries caused to it by Respondent's violations of the Shipping Act.

8. Respondent's actions alleged herein constitute failures by CMA to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of SEA, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5, among other violations alleged herein.

IV. PRELIMINARY STATEMENT

9. SEA, a leading electronic products company incorporated in the United States in 1978, offers home appliances, phones, tablets, smartwatches, mobile

accessories, mobile audio, televisions, monitors, and computer products to the American public.

10. The American public relies on SEA goods for its everyday personal and business needs.

11. SEA provides its consumer goods to the American public online through Samsung.com, through retailers like Best Buy, The Home Depot, and Lowe's, and through distributors.

12. In order to meet the needs of the American public, SEA has relied on transportation companies like CMA to carry its goods from foreign manufacturing locations by ocean and by land to inland destinations throughout the United States.

13. Part of the appeal of working with an experienced transportation company like CMA is its offering of a full range of services, from arrangements overseas to the final destination at SEA distribution centers and customers inland, otherwise known as inland transportation or "store door" delivery.

14. In store door delivery, the ocean carrier issues a through bill of lading or sea waybill indicating the marine port at which a container is discharged and an inland "place of delivery" to which the ocean carrier undertakes to transport the container after the container is discharged from the vessel at the port.

15. CMA markets its full range of services to companies like SEA in personal meetings, at conferences, and publicly on its website.

16. CMA markets inland transportation intermodal services as part of its store door delivery transportation: "The CMA CGM Group is a top carrier in the United States thanks to the expertise of our staff and our focus on the complete customer experience.

Our innovative solutions make our services smarter and more efficient across our portfolio of maritime, inland and logistics offerings, providing our customers with the best end-to-end services in the country.”¹

17. CMA boasts about its inland transportation capabilities to potential customers. CMA claims that “[a]s a global leader in sea, land, air and logistic solutions, we continuously developed Intermodal Transport solutions with a comprehensive door-to-door service that integrates train, barge, green truck and truck transport, building on the strength of our shipping services.”²

18. CMA further claims that:

- “We harness the full potential of our extensive land-based infrastructure to provide you with top-tier intermodal transport solutions.”
- “Our comprehensive global coverage and intricate network of regional connections guarantee that your goods are delivered to local markets with great reliability and efficiency.”
- “Trust us to ensure your shipments reach their destinations smoothly and on time, no matter where they are in the world.”
- “Wherever your doors are, we offer integrated and sustainable intermodal transport solutions for a seamless door-to-door experience that extends beyond our maritime services.”
- “Your goods and the environment are both prioritized by utilizing sustainable and greener modes of transport including rail, barge, and green trucks.”³

19. As set forth in detail below, SEA relied on CMA for store door transportation of goods to the United States in ocean shipping containers, but CMA fell far short of its responsibilities and obligations.

¹ <https://www.cma-cgm.com/local/united-states>.

² <https://www.cma-cgm.com/intermodal-solutions>.

³ <https://www.cma-cgm.com/intermodal-solutions>.

20. Beginning in approximately 2020, CMA began repeatedly failing to perform its obligations for inland transportation of SEA's goods to the inland destinations properly.

21. Aware of challenges with intermodal transportation logistics, CMA continued to transport SEA goods under store door through bills of lading or sea waybills for inland delivery in the United States, and continued to fail, repeatedly, to perform its inland transportation obligations properly, exposing SEA to unreasonable costs, charges, delays, and other harms.

22. As a result of CMA's unreasonable practices, SEA was forced to pay excessive and unlawful charges assessed by CMA—known as “demurrage and detention” charges—and was forced to undertake and perform significant parts of the ocean common carrier's inland transportation responsibilities (responsibilities that CMA had already been paid to perform) in order to obtain delivery and possession of its cargo and continue to import its products sold to American consumers.

23. As explained in further detail below, SEA dealt with manifestly unjust and unreasonable charges and practices in connection with inland transportation arrangements that are CMA's responsibility under its store door through bills of lading obligations to move the containers to the inland destinations and deliver the containers to SEA at the inland destinations.

24. Notwithstanding that CMA was the common carrier responsible for the inland transportation to the named place of delivery on the store door bills of lading, CMA forced SEA to pay demurrage and detention charges arising from delays and circumstances that were not within SEA's control; that involved inland transportation circumstances that were not the responsibility of SEA; and that arose from CMA's

affirmative acts and/or omissions that caused delays and other damages, including as described more fully herein, by employing various means to hold containers hostage and threatening to cut off further services.

25. CMA was the common carrier for the cargo delivery through to the inland destination by all multi-modal transportation methods, with the legal obligation and responsibility to arrange and perform the intermodal transportation and ultimately to deliver the cargo to SEA at the inland delivery destinations.

26. CMA cannot claim that demurrage and detention charges during the pandemic were unexpected, that it was unaware, or that they were out of its control. The issues CMA faced with inland transportation, such as chassis shortages, terminal congestion, and similar issues during the pandemic were not isolated events; they were systemic, ongoing, and well-known conditions. These issues were known at the time CMA made the vast majority of the bookings and arrangements with non-party rail interests and equipment providers.

27. SEA is entitled to seek reparations for charges and damages incurred when CMA was responsible for the inland transportation, even if CMA did not directly assess the charges or receive the payments. What matters is that SEA was forced to pay these charges, whether assessed by CMA, by CMA's subcontractors, agents, or otherwise on CMA's behalf, or incurred by SEA as a result of CMA's unreasonable conduct.

28. The staggering costs of demurrage and detention charges were unsustainable, presented a material threat to SEA's ability to provide its products to U.S. consumers, and made it necessary to bring this Complaint.

29. As a result of CMA's conduct, SEA has sustained serious and substantial injuries and monetary damages, including having to pay over 121,000 demurrage, detention, and associated charges.

V. FACTUAL ALLEGATIONS

30. SEA was the consignee of cargoes of home goods shipped to the United States in ocean shipping containers ("SEA Containers") by CMA.

31. CMA transported SEA Containers under through bills of lading, or sea waybills, from the overseas locations through U.S. ports and on to designated U.S. inland locations (commonly known as "store door" transportation).

32. Under "store door" through bills of lading and sea waybills, CMA was responsible as the common carrier for both (1) the ocean carriage of the SEA Containers, and (2) the inland carriage of the SEA Containers to the U.S. inland locations, generally SEA warehouses or directly to SEA customer locations.

33. Under "container yard" ("CY") or "port-to-port" bills of lading and sea waybills, the shipper or consignee is responsible for the inland movement of containers from the port of discharge to the final inland destination.

34. In store door shipments, CMA was responsible for arranging and paying for the inland movements, for ensuring the removal of containers from U.S. marine and intermodal terminals, and for the ultimate delivery of containers to the designated inland locations.

35. In store door shipments, costs and charges relating to delays in the timely removal of containers from terminals (generally known as "demurrage" charges) caused

by CMA, CMA's subcontractors, or circumstances not within SEA's control, should have been borne by CMA, not a consignee like SEA.

36. In store door shipments for which CMA utilized railroads for a portion of its inland transportation services, costs and charges relating to delays in the timely removal of containers from rail terminals (generally known as "rail storage" charges) caused by CMA's actions or omissions in connection with rail transportation, including failing to provide adequate chassis to railroads for unloading containers resulting in delays, CMA not paying charges to its railroad subcontractors resulting in further delays, or otherwise caused by circumstances not within SEA's control, should have been borne by CMA.

37. In store door shipments, costs and charges relating to delays in the timely delivery of containers (and chassis) to the designated inland locations and ultimately the return of empty containers and equipment to CMA's possession or control at CMA's designated return location (generally known as "detention" or "per diem" charges) should have been borne by CMA, not the shipper or consignee, when the delays resulted from matters for which (1) CMA was responsible (*e.g.*, delays in equipment return caused by ocean carrier empty return restrictions or limitations), and/or (2) CMA bore the responsibility for the underlying transportation delays (*e.g.*, delays in equipment return caused by problems performing inland drayage services, such as subcontracting adequate trucking, and/or availability of chassis the ocean carrier is responsible to provide).

38. Since January 2020, CMA transported SEA Containers under "store door" bills of lading to the U.S. from various overseas locations, through numerous U.S. ports, to numerous inland locations throughout the United States.

39. Beginning in approximately mid-2020, CMA began repeatedly and chronically failing to perform its inland transportation obligations properly, including failing to remove SEA Containers from U.S. marine and intermodal terminals timely and failing to deliver SEA Containers to their designated inland locations timely, and CMA began charging SEA for alleged demurrage and detention charges resulting from CMA's inland transportation failures in dramatically increasing amounts.

40. SEA was invoiced and has paid substantial amounts of demurrage and detention charges and other drayage-related charges in connection with CMA's store door transportation of SEA Containers.

41. When asked to explain the reason for assessing the charges to SEA, CMA proffered various excuses relating to alleged chassis shortages, trucker shortages, and port and terminal congestion matters, which were neither within SEA's control nor SEA's responsibility as the consignee of containers that CMA was obligated as the common carrier to deliver to the inland door destinations.

42. When asked to mitigate, cancel, or waive charges resulting from delays and/or acts or omissions not within SEA's control or responsibility, CMA refused to mitigate, cancel, or waive the unreasonable charges ultimately paid by SEA.

43. CMA repeatedly demanded payment of disputed demurrage and detention charges and invoices and threatened various punitive actions against SEA if payments were not made, including refusing to move, release, or deliver (i) SEA Containers with disputed charges, and (ii) other SEA Containers that were not the subject of the disputed charges (commonly known as "finance holds" or "cargo holds").

44. CMA has engaged, repeatedly, in the types of cargo holds described in the preceding paragraph. As to SEA Containers with disputed marine terminal and rail storage charges, CMA stopped further inland movement and chose to let containers languish in intermodal terminals, despite having full control over releasing the containers. And CMA held new containers on the basis of disputed charges on other containers, including holding containers not yet available for pick up, containers otherwise still in free time, and containers otherwise ready for delivery.

45. In order for SEA to secure delivery of its cargo, CMA unreasonably forced SEA to undertake significant parts of CMA's common carrier obligations to arrange and perform inland transportation for SEA Containers under store door bills of lading. This manifested in numerous ways and directly impacted the excessive accrual of demurrage, detention, and rail storage charges on SEA Containers.

46. CMA also engaged in an especially egregious unreasonable practice of unilaterally converting shipments on pre-paid, store door bills of lading to CY bills of lading for reasons that were not within SEA's control or responsibility.

47. By "terminating" or "diverting" store door bills of lading and converting the shipments to CY moves, CMA unilaterally abandoned its common carrier obligations to deliver the SEA Containers to the inland destinations.

48. CMA routinely engaged in its practice of unilaterally converting store door bills of lading to CY after SEA Containers had been discharged at marine terminals and after the containers were already in demurrage for reasons not within SEA's responsibility or control.

49. CMA's unilateral store door bill of lading conversions forced SEA to undertake the inland portion of the transportation that CMA was obligated to perform, that CMA had been paid in advance by the shipper to perform, and resulted in further accrual of demurrage and costs that SEA had to undertake in order to deliver the cargo to the intended inland destinations.

50. CMA repeatedly engaged in its practice of unilaterally converting store door bills of lading to CY without notifying SEA, causing further delays in the movement of SEA Containers and further exacerbating demurrage charges and other damages.

51. Container TLLU4331744 provides an illustrative example. This container was booked on a store door bill of lading from Busan, South Korea, to the final destination in The Colony, Texas. The container arrived at the Port of Long Beach in August 2021. Although the container was moving under a store door bill of lading, obligating CMA to deliver it to the inland destination, CMA notified SEA that the container was showing as "merchant haulage" upon arrival. CMA later clarified that, due to repeated scheduling changes and unpaid rail storage fees, the store door shipment had been terminated at the rail ramp and SEA was responsible for arranging delivery. SEA responded, emphasizing: "to clarify make sure before you are doing a CY/CY diversion. You need to get a confirmation from [the shipper.] DO NOT do it on your own because these are prepaid." As a result of CMA's unilateral conversion from door to CY, this container accrued \$162,799.38 in rail storage.

52. CMA contracted with railroads to perform inland transportation of SEA Containers for CMA.

53. SEA did not have any contracts or agreements with railroads to perform inland transportation of SEA Containers.

54. CMA transported SEA Containers on railroads under linehaul bills of lading where CMA (or its subcontractor or agent) was the shipper and the consignee for the rail transportation, not SEA.

55. As the shipper under linehaul bills of lading, CMA was responsible to the railroads for rail storage charges assessed by its railroad subcontractors.

56. Under CMA's contractual obligations with railroads, CMA was responsible for making adequate bare chassis available at railyards with "wheeled" modes of operations to permit the railyards to unload arriving containers onto chassis.

57. At rail yards with wheeled modes of operation, if a bare chassis is not available when a train arrives, the container cannot be mounted on a chassis.

58. At rail yards with wheeled modes of operation, if a container is not mounted on a chassis, the container cannot be picked up by an inland trucker.

59. CMA failed to make available adequate bare chassis at rail terminals, resulting in SEA Containers being "stacked" and not available for pickup, often for extended periods of time, until CMA made adequate bare chassis available and the rail yards were able to get through the backlog and mount the stacked containers.

60. Under CMA's contractual obligations with railroads, railroads generally commenced assessing rail storage two days after arrival of SEA Containers, regardless of whether the containers were mounted on chassis and, thus, not actually available for pickup.

61. Rail storage charges on SEA Containers accrued for reasons beyond SEA's responsibility or control.

62. CMA routinely refused to pay rail storage charges that accrued for reasons beyond SEA's responsibility or control.

63. CMA routinely demanded that SEA pay rail storage charges that accrued for reasons beyond SEA's responsibility or control.

64. CMA refused to arrange pickup of SEA Containers for further inland transportation unless SEA paid the above rail storage charges directly to CMA's railroad subcontractors.

65. CMA's refusal to pay and demands that SEA undertake direct payment of the above rail storage charges resulted in additional rail storage charges and damages to SEA.

66. For example, multiple SEA Containers arrived at an inland rail ramp on September 8, 2021, but were not mounted on chassis until September 25–26, 2021, during which time the containers accrued rail storage charges. After mounting, CMA repeatedly pressed SEA to "clear" (that is, to pay directly) the rail storage charges before CMA would arrange the removal of the containers for inland trucking, stating: "[w]e are experiencing another chassis shortage in Jacksonville so it would be nice to get these done!" Despite acknowledging the chassis shortage, CMA refused to release the containers until SEA made direct payment to the rail carrier—a duty CMA was obligated to perform both as the contracting party under its arrangements with the railroad, and as the common carrier under the store door bills of lading to deliver the containers to the inland destination. On November 18, 2021, the railroad agreed to "cover units in the

second Table thru the chassis mount date,” only after additional charges had begun to accrue after the date the containers were mounted on chassis. CMA explained that its railroad subcontractor “does not have the functionality at this time to back date split storage guarantees. So, Samsung will have to clear the storage thru delivery dates and invoice back CMA for the [units] with the split billing.” In effect, even where CMA conceded that it was responsible for rail storage charges, CMA still required SEA to pay storage charges directly to the railroad, even though SEA had no relationship with the railroad, no access to its payment platform, and no clear guidance on how to proceed. SEA repeatedly requested a statement of storage amounts and struggled to gain access to make the payments CMA demanded. SEA pressed that CMA is “supposed to be providing the storage fees and I’m not allowed to access since I’m considered as 3rd party - Please work with [the railroad subcontractor] and provide the storage fees so I can escalate this matter to clear the charges.” CMA responded that “CMA is not responsible for this storage and it must be handled directly with the ... Rail.” By this point, storage had accrued so substantially that when CMA issued the work order for the inland trucker, the trucker could no longer handle the carriage, forcing the engagement of a new trucker, which further delayed delivery. CMA’s failure to undertake its transportation obligations in this one example caused \$3,748,712.13 in charges.

67. In a different example, in August 2021, multiple SEA Containers were offloaded from a CMA vessel at the Port of Savannah for inland delivery to a retailer’s store locations. CMA unilaterally terminated the store door bill of lading and converted it to CY at the port because the trucking company contracted by CMA allegedly refused to deliver them and CMA failed to secure another trucker to deliver them. CMA stated that

SEA would need to arrange its own trucker to deliver the containers. Due to CMA's failure to provide inland trucking, containers TCNU5119507, CMAU4942295, and CMAU7207910 were not timely pulled from the terminal and incurred \$259,724.02 in demurrage charges.

68. In November 2021, SEA faced a similar issue when CMA was unable to secure adequate trucking capacity to move SEA Containers offloaded from a CMA vessel at the Port of Savannah, and unilaterally terminated the store door moves at the port. The 6 affected containers were CMAU5046729, TCKU6346408, TCNU3935435, BEAU6251253, CMAU4672008, and SEGU4292297. These containers incurred \$206,880.00 in demurrage charges as a result of CMA's unreasonable practices. In each of the foregoing examples, CMA abandoned its pre-paid inland transportation obligations, after the containers were already in demurrage, for reasons not within the responsibility or control of SEA. SEA was forced to locate and secure its own trucking capacity to handle the inland movement that CMA refused to perform, and to do so at its own expense, resulting in additional delay and demurrage charges.

69. SEA also incurred significant demurrage charges due to CMA's failure to secure sufficient truck chassis to move SEA Containers. For example, in November 2021, chassis shortages prevented CMA's trucker from timely pulling SEA Containers destined for a retailer's distribution center in San Antonio, Texas, after the containers were unloaded from a CMA vessel at the Port of Houston. Delays in pulling the 8 containers at issue resulted in \$134,210.00 in demurrage.

70. Another example occurred in June 2022, when certain marine terminals in the Port of New York and New Jersey were not receiving any CMA empty containers for

an extended period of time and/or had imposed empty return restrictions on CMA empty containers. Due to these restrictions, SEA asked CMA for assistance and to waive the detention charges. CMA responded that it would not waive charges but could “continue to work with our teams and terminals on solutions.” Ultimately, SEA was able to arrange for a container yard to accept CMA’s empties. But when it notified CMA of this arrangement, SEA was informed by CMA that the container yard would not be approved as an empty return location. By July 2022, SEA was still unable to return empty containers due to CMA’s failure to designate an empty return location and CMA simply informed SEA that it had no control over terminals and could not provide alternative locations.

71. CMA also threatened and imposed unlawful cargo holds on SEA Containers to coerce payment of disputed demurrage and detention charges:

- a. On October 23, 2020, SEA received an email from CMA with subject line "SAMSUNG ELECTRONICS AMERICA - 10.23.2020 STATEMENT OF ACCOUNT | PAST DUE BALANCE \$336,335.44 - Credit suspend/cargo hold notice" stating that "due to the aging and balance we require payment within 5 business days (10/29/2020) on ALL undisputed past due amounts as the account is subject to escalate for credit suspension and cargo will be held." While CMA assisted with getting the container information pulled for SEA, it said it did so "as a courtesy" and said in the future it was on SEA to figure it out based on invoices. This issue dragged into the next month when SEA received an email on the same chain where CMA threatened SEA with an account suspension if payments were not received.
- b. On January 5, 2021, SEA received a seemingly boilerplate email from CMA stating to "focus on balanced noted as COLLECTABLE." Then on February 3, 2021, CMA said that "[d]ue to the significant number of charges owed, past due, undisputed or disputed and denied, we have been instructed from our Home Office Management team to place an

immediate AR hold on your account. Meaning, cargo will no longer be released under credit, payment will be required prior to any cargo release." CMA placed a hold not only on new containers not in demurrage, but also on the basis of charges allegedly assessed for non-SEA entities, including Samsung C&T America, Inc. and Samsung Electronics Logitech Co., Ltd., ostensibly as punishment, even though they are separate entities and customers.

- c. In June 2021, CMA wrote stating "Attached is most recent statement of account. Despite our previous reminders, meetings and thorough dispute review we still have not received payment for past due Detention and Demurrage now with a total past due balance of totaling \$1,261,355.00. You are hereby notified to arrange payment within the next 2 calendar days. If your account is not settled by the end of this period, we will have no other option but to preserve our interests to suspend credit conditions granted to you and/or cargo hold, until full settlement of your debt." Five days later, CMA wrote SEA saying it was in "immediate credit suspension" and SEA would be "responsible for all cost incurred for delays, and, if applicable, compensation in addition to contractual (or other) penalties for late payment." SEA then sent approvals to CMA but CMA did not aim to truly work with SEA on resolving the issues and SEA's account remained on hold at least through June 29, 2021. and
- d. In April 2022, CMA imposed a credit hold that prevented 40 containers from being removed from a terminal in New York/New Jersey. The hold was imposed by CMA's Mexico affiliate over a \$590,000 charge that was under dispute by the shipper. Although the charge was disputed, CMA nonetheless imposed a hold on 40 SEA Containers. The delay led to demurrage charges that were borne by SEA.

72. CMA routinely employed other unreasonable billing practices and policies that caused further injuries to SEA:

- a. CMA's invoices routinely lacked adequate information to determine the basis for the individual demurrage and detention charges;
- b. CMA's invoices did not identify any underlying cause or responsibility for the delays resulting in the charges;

- c. Upon information and belief, it was CMA's practice to assess and charge, and/or cause SEA to pay, demurrage, detention, rail storage and other charges on the basis of reliance on CMA's "CNT" tariff provisions;
- d. Upon information and belief, it was CMA's practice to assess and charge, and/or cause SEA to pay, demurrage, detention, rail storage and other charges without regard to which party was at fault, and regardless of which party was responsible;
- e. CMA charged, and/or caused SEA to pay, demurrage, detention, rail storage and other charges even where the delays were caused by CMA's failure to timely dispatch truckers due to problems with its "Blume" software system;
- f. CMA repeatedly rebilled SEA for charges previously billed, and for charges previously paid, based on information and belief, on CMA failing to properly reconcile its invoices with payments received from SEA and others, including payment vendors;
- g. CMA improperly and systematically required that SEA undertake initial payment responsibility for demurrage, detention, and rail storage charges as a condition to release cargo from intermodal terminals and without taking adequate steps to address increasing delays, costing SEA not only the direct costs of paying such charges, but also causing SEA to incur significant and substantial costs for employees and systems to undertake responsibility for CMA's inland transportation obligations; and
- h. CMA failed to have or engage in an adequate or meaningful dispute resolution process for demurrage and detention charges.

73. When asked to mitigate, cancel, or waive charges for which SEA was not responsible and on the basis that CMA was responsible for such inland charges as the common carrier under store door bills of lading, CMA refused to mitigate, cancel, or waive the unreasonable charges ultimately paid by SEA.

74. CMA's conduct also resulted in container processing and handling delays at SEA's warehouses and client delivery locations, as well as delays in container and equipment returns, resulting in further detention charges and injuries.

75. Based on information and belief, as a result of CMA's unjust and unreasonable practices and other unlawful conduct, SEA was repeatedly charged detention and/or per diem in connection with empty containers and chassis when CMA failed to provide reasonable opportunity to return such equipment without incurring additional charges, including inadequate availability of return locations, and inadequate and/or inaccurate information concerning return locations.

76. On July 12, 2024, SEA sent a Notice of Demand for Action letter ("Demand Letter") to CMA regarding its unreasonable and unlawful charges for demurrage, detention, handling, and/or storage, and other unreasonable and unlawful conduct. The Demand Letter invited CMA to respond in a substantive manner and asked that CMA indicate its interest in discussing cooperative resolution as well as enter into a tolling agreement. SEA and CMA ultimately entered into the tolling agreement in 2024, and it has been extended on multiple occasions since.

77. In the months that followed, SEA provided CMA with detailed information regarding unreasonable CMA actions in violation of the Shipping Act, including evidentiary support. CMA and SEA representatives also met in person on multiple occasions in 2025 and 2026. Despite SEA's efforts to provide information to CMA regarding its claims, CMA has refused to engage meaningfully in efforts to address SEA's claims and resolve the disputes with repayment of demurrage and detention and related charges SEA was forced to pay.

78. SEA is not alone in suffering from CMA's unreasonable conduct. The legality of CMA's detention and demurrage practices has repeatedly been challenged in proceedings before the FMC:

- a. In *Euromarket Designs, Inc. v. MSC Mediterranean Shipping Company SA, et al.*, FMC Docket No. 25-03, the complainant alleges that "CMA's actions not only caused significant detention fees but also tens of thousands of dollars in demurrage, unfairly burdening Complainant due to CMA's operational inefficiencies and failure to address these issues in a timely manner." The complainant claims \$249,000 in improper demurrage charges and \$208,000 in improper detention charges were caused by CMA's misconduct. *Euromarket Compl.* ¶ 155, 156.
- b. In *20230930-DK-Butterfly-1, Inc. v. CMA CGM S.A*, FMC Docket No. 25-25, the complaint alleges that Bed, Bath & Beyond was forced to pay at least approximately \$385,324.02 in unlawful detention and demurrage charges. These charges were paid in connection with CMA voyages during 2021 and 2022, and assessed "during periods of time in which such Charges were not just, reasonable, or fair because of circumstances outside the control of Complainant and its agents and service providers, such as congestion and lack of appointments and equipment at port terminals." *20230930-DK-Butterfly-1 Compl.* ¶ 17.
- c. In *India Connection LLC v. CMA CGM (America) LLC*, FMC Docket No. 26-11, the complainant seeks the return of detention charges unlawfully imposed in contravention of the incentive principle. See, e.g., *India Connection Compl.*
- d. In *PKDC, LLC v. CMA CGM S.A.*, FMC Docket No. 24-21, the complainant charges CMA violated Section 41102(c) by imposing approximately \$1 million in demurrage charges that "were assessed in violation of the incentive principal [sic], including when appointments were unavailable, dual move requirements had been instituted, or containers and/or equipment were unavailable." *PKDC Compl.* ¶ 39.
- e. In *Access One Transport, Inc. v. CMA CGM S.A.*, FMC Docket No. 24-18, the complainant alleges that it incurred detention fees due to CMA's unreasonable empty container return practices. Complainant claims that "[i]nstead of adequately

allowing for opportunities to return empty containers, CMA involuntarily forced ACCESS ONE to act as a storage facility for CMA empty containers without compensation. Such actions not only should have incurred storage and related charges for the containers for CMA's account, it also caused ACCESS ONE to incur and assess storage and chassis charges to its customers, and interfered with ACCESS ONE's operations and its relationship with its customers." *Access One Compl.* ¶ 29.

- f. And in *TZ SSE Buyer, LLC v. CMA CGM S.A.*, FMC Docket No. 24-07, the complainant brought claims against CMA for violating Section 41102(c) based on unlawful demurrage charges. The complainant alleged that the "CMA assessed demurrage, detention, per diem, and yard storage charges (the "Charges") to the Injured Parties for periods of time in which the Injured Parties' ability to pick up containers at the ports, or return empty containers promptly, was significantly constrained due to circumstances outside of the Injured Parties' control, such as congestion at ports and shortage of equipment." *TZ SSE Amended Compl.* ¶ 4.

79. CMA has also been investigated by the FMC for unlawful billing practices under the Shipping Act. In May 2024, CMA paid \$1,975,000 to resolve allegations that it overbroadly defined and applied its definition of merchant in a bill of lading to demand payment from a third party who should not have been billed. CMA also agreed that, in addition to paying civil penalties, it will also furnish restitution to impacted third parties in the form of refunds and waivers and agreed to comply with the Demurrage and Detention Billing Rule (46 C.F.R. Part 541) upon the rule's effective date of May 28, 2024.⁴

80. As a result of CMA's wrongful conduct, SEA incurred serious and substantial injuries and monetary damages, including paying improper charges for

⁴ See <https://www.fmc.gov/articles/compromise-agreements-yield-over-2-3-million-in-penalties-changes-to-business-practices/>.

demurrage and detention, with charges continuing to be tabulated as of the filing of this Complaint.

VI. SHIPPING ACT VIOLATIONS

COUNT I -- VIOLATIONS OF 46 U.S.C. § 41102(c)

AND 46 C.F.R. §§ 545.4 AND 545.5

Unjust and Unreasonable Charges

81. In reference to the aforementioned pled facts and recitals in paragraphs 1-80 which are incorporated herein, Complainant further alleges the following violations of the Shipping Act.

82. CMA is a common carrier by water as defined by the Shipping Act. 46 U.S.C. § 41102(c) provides: “(c) Practices in handling property. A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

83. CMA’s foregoing practices and procedures relating to the assessment of demurrage, detention, rail storage, and other charges are directly related to receiving, handling, storing, or delivering SEA’s property.

84. CMA’s foregoing practices and procedures relating to the assessment of demurrage, detention, rail storage, and other charges occurred on a normal, customary, and continuous basis, involving in excess of 26,000 individual demurrage charges, over 94,000 individual detention-type charges, and other associated charges.

85. CMA's foregoing practices and procedures relating to the assessment of demurrage, detention, rail storage, and other charges are unjust and unreasonable in violation of 46 U.S.C. § 41102(c).

86. The Interpretive Rule codified at 46 C.F.R. § 545.4 provides guidance on how the Commission interprets the elements of claims for reparations under 46 U.S.C. § 41102(c).

87. The Incentive Principle codified at 46 C.F.R. § 545.5(c) provides guidance on how the Commission will interpret 46 U.S.C. § 41102(c) in the context of demurrage and detention charges and practices, pursuant to which, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

88. CMA's foregoing practices and procedures related to the assessment of demurrage, detention, rail storage, and other charges are unjust and unreasonable as applied because they did not serve their intended primary purpose to incentivize freight fluidity, all in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5.

89. CMA's foregoing unreasonable practices and procedures and unreasonable assessment of demurrage, detention, rail storage, and other charges paid by SEA, are the proximate cause of SEA's claimed injury and damages.

COUNT II -- VIOLATIONS OF 46 U.S.C. § 41102(c)

Other Unjust and Unreasonable Practices in Connection with Inland

Transportation, Billing, and Dispute Resolution

90. Complainant repeats and realleges each and every allegation in paragraphs 1-89 above as if fully set forth herein.

91. Section 41102(c) prohibits a common carrier from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

92. In addition to the elements set forth in Count I, each of which is applicable here and incorporated herein, 46 U.S.C. § 41102(c) applies equally to other practices, including cargo holds, cargo release, failing to undertake common carrier transportation obligations, failing to have reasonable bill of lading and tariff provisions (and/or failing to reasonably apply bill of lading and tariff provisions), unreasonably terminating store door bills of lading and converting shipments to CY for reasons not within SEA control or responsibility, invoicing and dispute resolution practices, policies and procedures (or lack thereof) in connection with assessment, collection, and dispute resolution of charges relating to or connected with receiving, handling, storing, or delivering property.

93. CMA’s cargo hold practices violate 46 U.S.C. § 41102(c).

94. CMA’s practice of refusing to retrieve SEA Containers from terminals or refusing to carry out other store door inland transportation unless and until SEA agreed to arrange direct payment to CMA and/or its subcontractors violates 46 U.S.C. § 41102(c).

95. CMA’s practice of unilateral termination and conversion of store door bills of lading to CY violates 46 U.S.C. § 41102(c).

96. CMA’s dispute resolution practices (or lack thereof), including, but not limited to, Respondent’s failures to engage meaningfully in commitments to address disputed charges beyond those paid directly to it, and Respondent’s apparent lack of any workable practice, policy, or procedure to meaningfully evaluate disputed charges, as set forth in Section V above, constitute violations of 46 U.S.C. § 41102(c).

97. CMA's foregoing unreasonable practices and procedures are the proximate cause of SEA's claimed injury and damages.

VII. CAUSATION AND INJURY TO COMPLAINANT

98. As a result of Respondent's violations of the Shipping Act, Complainant has sustained serious and substantial injuries and monetary damages, including paying erroneous detention, demurrage, and rail storage charges, and other damages. CMA's unreasonable and unlawful conduct continues to cause SEA to sustain injury and damages.

99. Damages to SEA caused by Respondent's Shipping Act violations as detailed above in this Complaint for which SEA seeks reparations totaling at least \$186 million, include:

- a. Excessive and unlawful demurrage, detention, rail storage, and associated charges and costs paid in connection with CMA store door shipments of SEA Containers totaling \$148 million;
- b. At least \$8.1 million in additional costs borne by SEA to perform CMA's inland transportation obligations and for other mitigating actions undertaken by SEA, such as additional personnel hired to handle the increase in transportation costs on CMA moves and costs of leasing off-dock container yard space;
- c. Lost revenues in an amount to be calculated;
- d. Employee and attorney time expended in connection with unsuccessful efforts to dispute unlawful detention, demurrage, rail storage, and associated charges and costs with CMA before the filing of SEA's Complaint;
- e. Attorneys' fees expended in connection with disputes with CMA; and
- f. At least \$30 million in prejudgment interest.

VIII. ALTERNATIVE DISPUTE RESOLUTION

100. SEA has unsuccessfully attempted to resolve this matter with Respondent prior to filing this Complaint. These multiple discussions and meetings, as set forth in Section V above, provide detailed allegations as to SEA's efforts. These detailed allegations include examples set forth in this Complaint. Considering statements made by Respondent and consequent noncooperation in resolving this matter, including those outlined specifically in this Complaint, SEA did not seek to use the FMC's alternative dispute resolution process prior to filing this Complaint.

101. For the same reasons stated above, Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution under the FMC's ADR program (46 C.F.R. § 502.64).

IX. REQUEST FOR ORAL HEARING

102. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol Street, NW, Washington, D.C. 20573-0001.

X. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that Respondent be required to answer the charges in this Complaint, and that after thorough investigation the FMC issue an Order:

1. Requiring Respondent to pay Complainant reparations for the unlawful conduct described above;
2. Requiring Respondent to pay to Complainant any other amounts that the FMC deems appropriate;

3. Ordering that Respondent cease and desist from the unlawful conduct, including collection by CMA of any pending charges arising from the unreasonable policies and practices complained of above; and
4. Providing Complainant such other and further relief that the FMC deems is just and proper.

Dated: August 21, 2026

Respectfully Submitted,

HOLLAND & KNIGHT LLP



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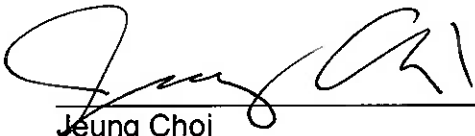
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Counsel to Complainant Samsung Electronics America, Inc

VERIFICATION

I, Jeung Choi, am Senior Director of Transportation & Inbound Logistics of Complainant Samsung Electronics America, Inc. and hereby declare and attest under penalty of perjury that I have read the foregoing Verified Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: August 21, 2026


Jeung Choi

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